

DEBT & EQUITY

Trevato's \$77M Construction Loan Tests Lender Appetite for Beachfront Supply

A 415-unit luxury rental in Jacksonville Beach reveals how construction debt is pricing risk in 2026.

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A source-grounded Light Tower Insight.

A credit committee reviewing a \$76.8 million construction loan for a 415-unit luxury rental in Jacksonville Beach would have to answer one question before approving the term sheet: Can this market absorb new supply at the rents required to support this basis, and can the sponsor survive the timeline if it does not?

The answer, in this case, was yes. Trevato Development Group broke ground July 1 on a Class A multifamily project at 1944 Beach Blvd. The development will include 1,800 square feet of retail and a full suite of resort-style amenities. First units are scheduled for delivery in the fourth quarter of 2028, with stabilization anticipated by September 2030.

That timeline is the most revealing number in the deal. A construction loan with a four-year delivery horizon and a six-year path to stabilization is not a bet on current market conditions. It is a bet on demographic trends, coastal supply constraints, and the sponsor's ability to execute through a full cycle of rate uncertainty, construction cost volatility, and lease-up risk.

The lender is underwriting a long fuse. That signals confidence in the Jacksonville Beach submarket, but it also exposes the loan to a wide range of macroeconomic outcomes between now and 2030. Any construction lender pricing this deal had to decide whether the premium for that duration was worth the basis risk.

The project is the area's first new luxury high-end residential rental community in decades. That scarcity is the lender's primary defense. Jacksonville Beach has limited developable land, restrictive zoning, and a growing population drawn by coastal amenity and relative affordability compared to South Florida. A new Class A product with 989-square-foot average units and premium finishes should command a rent premium over the existing stock. The question is how much premium the market can support once the pipeline of new supply becomes visible.

The retail component is small, 1,800 square feet, but its inclusion matters. Mixed-use construction loans are structurally more complex than pure residential deals. The lender must

underwrite two income streams, two lease-up curves, and two sets of tenant credit profiles. In this case, the retail is likely a ground-floor amenity rather than a material income driver, but it still adds underwriting friction that a pure multifamily loan would avoid.

The sponsor matters here. Trevato Development Group is not a household name in national CRE capital markets, but local and regional developers with strong execution track records are precisely the borrowers that construction lenders are willing to back in 2026. National banks have pulled back from construction lending. Regional banks are active but selective. Private debt funds are filling the gap at higher spreads. The fact that this loan closed at all, at this size, for a ground-up development with a 2030 stabilization date, suggests the sponsor brought a credible plan, a meaningful equity check, and a relationship that the lender trusted.

The loan also reveals something about the cost of construction debt in mid-2026. The Federal Reserve held rates steady through the first half of the year. The forward curve does not project a meaningful cut until late 2026 or early 2027. Any floating-rate construction loan originated today carries a coupon that reflects that reality. If the loan is fixed, the lender locked in a rate that prices in both the base rate and a term premium for the extended timeline. Either way, the all-in cost of capital for this project is materially higher than it would have been in 2021 or early 2022.

That higher cost of capital compresses the margin for error. If lease-up takes longer than projected, or if rents plateau, the debt service coverage ratio tightens. The lender has already accepted that risk by signing the term sheet. The question for the market is whether other lenders will follow the same logic for similar deals in secondary coastal markets.

The Jacksonville Beach project is not a bellwether for national construction lending. It is too specific, too local, and too dependent on sponsor quality to carry that weight. But it is a useful data point for anyone tracking where construction debt is available and at what price. The answer, for now, is that capital is available for well-located, well-sponsored projects with a scarcity thesis and a long enough timeline to absorb the risk. The market should test whether that appetite extends to projects with shorter timelines, weaker sponsors, or less defensible

Construction lending in 2026 is not about confidence in the economy. It is about confidence in the specific basis, the specific sponsor, and the specific timeline. This deal cleared all three hurdles. The next one may not.